

HOUSE BILL 2142

By Warner

AN ACT to amend Tennessee Code Annotated, Title 20
and Title 29, relative to the application of foreign
law.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. This act is known and may be cited as the "Tennessee Foreign Law Non-Recognition Act."

SECTION 2. Tennessee Code Annotated, Title 20, Chapter 15, is amended by adding the following as a new section:

20-15-107. Application of foreign law prohibited when contrary to constitutional rights.

(a) A court, arbitration panel, administrative agency, or other tribunal in this state shall not apply, enforce, or base a ruling or decision on any foreign law, legal code, or system if the application of that foreign law, legal code, or system would result in the violation of a right guaranteed by the Constitution of the United States or the Constitution of Tennessee.

(b) This section does not:

(1) Prohibit the recognition or enforcement of a foreign judgment or contract that complies with state and federal constitutional protections; or

(2) Interfere with the application of tribal law, federal law, or the uniform commercial code where applicable.

SECTION 3. Tennessee Code Annotated, Title 29, Chapter 5, Part 1, is amended by adding the following new section:

29-5-120. Limitation on arbitration award based on foreign law.

(a) An arbitration award shall not be confirmed or enforced in this state if the decision is based in whole or in part on a foreign law that, if applied by a court in this state, would violate the rights of one (1) of the parties under the United States Constitution or the Constitution of Tennessee.

(b) Any provision of an arbitration agreement that requires the application of foreign law in a manner inconsistent with constitutional protections is void and unenforceable.

SECTION 4. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 5. This act takes effect upon becoming a law, the public welfare requiring it.